HOUSE BILL 1683
By Hawk

SENATE BILL 1642

By Walley

AN ACT to amend Tennessee Code Annotated, Title 4; Title 54; Title 55; Title 65 and Title 67, relative to transportation.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 54, Chapter 1, Part 1, is amended by adding the following as a new section:

54-1-105.

(a) The department of transportation is directed to study transportation infrastructure needs, costs, and funding sources for the years 2028, 2050, and 2075.

(b) In conducting the study, the department must consider:

(1) Existing sources of revenue dedicated to transportation infrastructure, including the highway fund;

(2) Potential sources of existing revenue not dedicated to transportation but derived substantially from transportation activities; and

(3) The impact of Section 2 of this act on transportation infrastructure needs.

(c) The department shall report findings and recommendations to the chairs of the transportation and safety committee of the senate and the committee in the house of representatives having jurisdiction over transportation by January 1, 2028.

SECTION 2. Tennessee Code Annotated, Section 67-6-103, is amended by deleting subsection (v) and substituting instead:

(v)

(1) As used in this subsection (v), "motor vehicle" and "tire" have the same meanings as defined in § 67-4-1602.

(2)

(A) Notwithstanding the allocations provided for in subsection (a), ninety-five and three thousand nine hundred seventy ten-thousandths percent (95.3970%) of revenues received under this chapter from the sale, use, consumption, distribution, or storage for use or consumption of new or used motor vehicles and new or used tires on or after October 1, 2026, must be allocated to and deposited in the highway fund.

(B) Four and six thousand thirty ten-thousandths percent (4.6030%) of revenues received under this chapter from the sale, use, consumption, distribution, or storage for use or consumption of new or used motor vehicles and new or used tires on or after October 1, 2026, must be appropriated to the several incorporated municipalities within this state to be allocated and distributed to them monthly, in the proportion as the population of each municipality bears to the aggregate population of all municipalities within the state, according to the latest federal census and other censuses authorized by law. Municipalities incorporated subsequent to the last decennial federal census shall, until the next decennial federal census, be eligible for an allotment, commencing on July 1, following incorporation and the election and installation of officials, on the population basis determined under regulations of the department of economic and community development and certified by that office to the commissioner; provided, that an accurate census of population has been certified to the department of economic and community development by the municipality. Municipalities participating in allocation shall continue to do so on the basis of their population determined according to law.

(3) Notwithstanding the allocation provided for in subdivision (c)(1), all revenue generated from the tax levied at the rate of two and three quarters percent (2.75%) on the amount in excess of one thousand six hundred dollars ($1,600) but less than or equal to three thousand two hundred dollars ($3,200) from the sale, use, consumption, distribution, or storage for use or consumption of new or used motor vehicles and new or used tires on or after October 1, 2026, must be allocated to and deposited in the highway fund.

(4) Notwithstanding this subsection (v) to the contrary, no portion of the revenue derived from the increase in the rate of sales and use tax allocated to educational purposes, pursuant to chapter 529, § 9 of the Public Acts of 1992, and no portion of the revenue derived from the increase in the rate of sales and use tax from six percent (6%) to seven percent (7%), pursuant to chapter 856, § 4 of the Public Acts of 2002, must be apportioned and distributed pursuant to this subsection (v). The revenue must be allocated as provided in chapter 529, § 9 of the Public Acts of 1992, and chapter 856, § 4 of the Public Acts of 2002, respectively.

SECTION 3. This act takes effect October 1, 2026, the public welfare requiring it.